IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA)- 89(ND)/2021

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) –69(ND)/2021

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF ARRANGEMENT

BETWEEN

M/s. SIX SIGMA SOFTWARE PRIVATE LIMITED

……. Petitioner Company No.1/ Demerged Company No.1

AND

M/s. KMG INFOTECH PRIVATE LIMITED

….. Petitioner Company No.2/Demerged Company No.2/Resulting Company No.1

AND

M/s. KEY MANAGEMENT TECHNOLOGIES PRIVATE LIMITED

…….. Petitioner Company No.3/Resulting Company No.2

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 04.06.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Alok Kumar Tripathi, PCS

For the RD : Ms. Shankari Mishra, Ms. Jyoti Khurana, Advs.

For the OL : Ms. Hemlata Rawat Adv and Mr. Rahul Bhatt Adv

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition has been filed jointly by the M/s. Six Sigma Software Private Limited (Petitioner Company No.1/Demerged Company), M/s. KMG Infotech Private Limited (Petitioner Company No. 2/Resulting Company No.1) and M/s. Key Management Technologies Private Limited (Petitioner Company No.3/ Resulting Company No.2) under Sections 230-232 of the Companies Act, 2013 ("**Act**") read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ("**Rules**") for the Sanction of the proposed Scheme of Arrangement between the Demerged Company and Resulting Company No.1 and 2 and their respective shareholders and creditors.

2. The Petitioner Company No. 1 namely M/s. Six Sigma Software Private Limited bearing CIN: U51900DL1993PTC055031 was incorporated on 01.09.1993 under the Companies Act 1956 with the Registrar of Companies, Delhi & Haryana.

   The Registered Office of the Demerged Company is situated at Flat No. 310, Gedore House, 51-52, Nehru Place, New Delhi-110019.

   The Authorised Share Capital of the Petitioner Company No. 1 at the time of filing of this Application is Rs. 5,00,00,000/- (Rupees Five Crore only) divided into 50,00,000 (Fifty Lakh only) Equity Shares of Rs. 10/- (Rupees Ten) each.

   The issued, subscribed and paid-up capital is Rs.2,46,59,370/-(Rupees Two Crore Forty Six Lakh Fifty Nine Thousand Three Hundred Seventy only) divided into 24,65,937(Twenty Four Lakh Sixty Five Thousand Nine Hundred Thirty Seven) equity shares of Rs.10/- (Rupees Ten) each.

3. The Petitioner Company No. 2 namely M/s. KMG Infotech Private Limited bearing CIN: U74110DL1999PTC291383 was incorporated on 02.11.1999 under the Companies Act 1956 with the Registrar of Companies, Delhi & Haryana as a Public Company with name 'KMG Infotech Limited'. Later on, its name was changed to its present name consequent upon conversion from public company to private company w.e.f. 20.05.2020. The Registered Office of the Resulting Company is situated at Flat No 310, Gedore House, 51-52, Nehru Place, New Delhi-110019.

The Authorised Share Capital of the Petitioner Company No. 2 at the time of filing of this Application is Rs. 20,00,00,000/- (Rupees Twenty Crore only) divided into 2,00,00,000 (Two Crore Only) Equity Shares of Rs. 10/- (Rupees Ten only) each.

The issued, subscribed and paid-up capital of the Demerged Company No. 2/Resulting Company No. 1 is Rs. 10,52,90,660/- (Rupees Ten Crore Fifty Two Lakh Ninety Thousand Six Hundred Sixty only) divided into 1,05,29,066 (One Crore Five Lakh Twenty Nine Thousand Sixty Six) equity shares of Rs. 10/- (Rupees Ten only) each.

4. The Petitioner Company No. 3 namely M/s. Key Management Technologies Private Limited bearing CIN: U72900DL2021PTC375294 was incorporated on 04.01.2021 under the Companies Act 2013 with the Registrar of Companies, Delhi & Haryana as a Private Company.

   The Registered Office of the Resulting Company is situated at Flat No 310, Gedore House, 51-52, Nehru Place, New Delhi-110019.

   The Authorised Share Capital of the Petitioner Company No. 3 at the time of filing of this Application is Rs. 1,00,000/- (Rupees One Lakh only) divided into 1,00,000 (One Lakh Only) Equity Shares of Re. 1/- (Rupee One only) each. The issued, subscribed and paid-up capital of the Petitioner Company No.3 is Rs. 1,00,000/- (Rupees One Lakh only) divided into 1,00,000 (One Lakh Only) Equity Shares of Re. 1 /-(Rupee One only) each.

5. The Registered Office of the Petitioner Companies is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

6. It is stated that the Petitioner Companies have jointly moved the necessary second motion Petition being **CP(CAA)–89(ND)/2021** on 09.08.2021, connected with the first motion Application being **CA(CAA)–69(ND)/2021**, before the National Company Law Tribunal, New Delhi.

7. The Scheme has been approved by the Board of Directors of the Petitioner Companies at their respective Board Meetings held on 09.01.2021.

8. The Petitioner Companies submit that the circumstances which justify and necessitate the said Scheme of Arrangement are as follows: -

"The Demerged Company No. 1 has following businesses/ undertakings in the Company namely:

- *Information Technology Investment Business Division;*
- *Residual Business Division*

Similarly, Demerged Company No. 2 has following businesses/undertakings in the Company namely:

- *IT Business Division;*
- *Residual Business Division*

In order to grow these businesses and to ensure optimum utilization of resources, the management has chart out the growth plans for these distinct businesses, and considered prudent to segregate these distinct divisions/undertakings into separate companies in order to concentrate on core competencies.

The decision of the management was, inter-alia, based on the following factors:

a) *The gestation period, project timelines and the financing sources/strategy for the distinct businesses are altogether different. It is envisioned that the growth of these businesses would require induction of large capital funding to be generated through known sources: -*
   - *Strategic investors*
   - *Technical & financial collaborators*
   - *Private equity investors*
   - *Banks and financial institutions*
   - *IPOs*

b) *The distinct businesses require distinct skill set and have different risk and demand ratio; have their respective set of assets, liabilities and employees.*

c) *The association of foreign collaborators and strategic partners will not mature until core businesses are segregated into separate entities. The Private funds and collaborations are mostly sector*

specific. Therefore, in order to realize the long-term growth, it is recommended that the Information Technology Investment Business Division and IT Business Division respectively be hived off into separate companies while the residual Companies SSSPL and KIPL should continue to carry on their core businesses.

d) *The marketing and sales processes of the distinct businesses are different.*

e) *Only dedicated business will attract Joint Venture parties.*

f) *The Scheme of Arrangement and Reconstruction would be beneficial to and in the best interest of the Shareholders & Creditors of the Demerged Companies and the Resulting Companies. The Scheme of Arrangement and Reconstruction shall not in any manner be prejudicial to the interests of concerned members/creditors or general public at large."*

9. This Adjudicating Authority vide order dated 23.07.2021 has dispensed the requirement of convening the meetings of the shareholders, secured and unsecured creditors of the Petitioner Companies.

10. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Arrangement for issuance of notices. This Tribunal directed to issue notice to all the Statutory Authorities, namely, the Regional Director (Central Government) - Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana - Ministry of Corporate Affairs, and Income Tax Department.

11. The Petitioner Companies served a copy of the Petition along with its annexures to the Office of the Regional Director, Northern Region, New Delhi, the Official Liquidator, New Delhi and the office of Registrar of Companies, New Delhi on 28.07.2021 and to The Income Tax Department, Nodal Office- DCIT (High Court Cell), through the E-mail dated 01.01.2022 as per the direction given by this Tribunal vide Order dated 23.07.2021.

12. It is submitted by the Petitioners that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 24.02.2023 by confirming that the aforesaid Notices of the present Company Petition were published on 13.02.2023 in Business Standard (English Edition) and in

Business Standard (Hindi Edition) on 13.02.2023 Delhi edition.

13. The Regional Director along with the Registrar of Companies vide it's report dated 18.01.2023 has not objected to the proposed scheme of the arrangement but has made certain observations. The Petitioner companies have filed their Reply dated 17.03.2023 in response to the observations made by the Regional Director and Registrar of Companies.

14. The Official Liquidator, Delhi High Court vide its report dated 06.07.2022 submitted to this Adjudicating Authority states that since none of the Demerged Companies is going to be dissolved, no report/representation under section 232(5) of the Companies Act, 2013 and Rules made thereunder is desired on the part of the Official Liquidator attached to the High Court of Delhi at New Delhi.

15. The Petitioner Companies in its Additional Affidavit dated 10.10.2023 in response to the Counter Affidavit dated 18.08.2023 filed by the Income Tax Department undertakes to pay the income tax dues of the Petitioner Companies, if any, subject to its rights conferred under law.

16. In compliance with the Order dated 11.08.2021, the Certificates of Statutory Auditors of the Petitioner Companies, have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Demerger is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013. The Statutory Auditors of the Petitioner Companies have confirmed the same vide Certificate dated 11.10.2021 filed by M/s. Ankit Vijay & Company, Chartered Accountants; Associates for Petitioner Company No.1 and Certificate dated 08.10.2021 filed by M/s. M.M. Nissim & Co., LLP for Petitioner Companies No. 2 and 3.

17. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act.

18. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies.

19. The exchange ratio for the purpose of implementation of the terms of the Scheme of Arrangement and Reconstruction has been prepared by a Registered Valuer and the same has been unanimously accepted by the Board of Directors of the Demerged Companies and the Resulting Companies. The Valuation Report dated 01.06.2021 prepared by Mr. Ramandeep Singh Arora, Chartered Accountant is attached with the present Application.

20. The Petitioner Companies in its general affidavit dated 30.07.2021 have affirmed that all material facts relating to the company, such as the latest financial position of the company been disclosed and there are no material changes subsequent to the financial statements disclosed in the Scheme; the Scheme is not per se related to or proposed for the Reduction of Capital, however the same is applicable to the extent of cancellation of existing shares held by the Demerged Company in the Resulting Company; and the Scheme is not a corporate debt restructuring scheme and hence a creditor's responsibility statement and other requirement under the said section is not applicable to the present case.

21. It is submitted by the Petitioner Companies that this Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

22. The sanction of the scheme will benefit all and is in the interest of the Demerged Companies and the Resulting Companies, their Shareholders, Creditors, Employees and all concerned and is fair and reasonable and not detrimental to the interests of the public.

23. **Analysis and Finding**

i. After considering the reports of the Statutory Authorities and the reply of Petitioner Companies thereof, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Petitioner Companies and the Scheme will be beneficial to the Petitioner Companies and their respective shareholders and creditors.

ii. The shareholders of the Petitioner Companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme

of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Petitioner Companies, their respective shareholders, creditors, employees and all concerned.

iv. Upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

24. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

i. The appointed date in the Scheme of Arrangement is 01.04.2020 or such other date as directed by this Tribunal. Having considered the time already elapsed and the fact that Accounts must have already been drawn for intervening period, we prescribe **01.04.2024** as the 'Appointed Date'.

ii. The Petitioners shall always remain bound to comply with the statutory requirements in accordance with law.

iii. Notwithstanding the sanction, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iv. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

25. This Tribunal does further order: -

i. That all properties, rights and powers of Demerged Undertaking be transferred without further act or deed to the Resulting Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged Undertaking subject nevertheless to all changes now affecting the same; and

ii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged Undertaking shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

iii. That all proceedings now pending by or against the Demerged Undertaking shall be continued by or against the Resulting Company; and

iv. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged Undertaking shall be deemed to be transferred; and

v. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

26. Accordingly, the present Scheme of Arrangement stands **sanctioned** and **CP(CAA)/89(ND)/2021** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

-Sd-

(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

-Sd-

(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)